

Table 68.1 Identification Guidelines

Characteristic	Discussion
Appearance	After price trends upward, look for three minor highs, well separated and distinct, followed by price closing below the bottom of the chart pattern.
Price trend	Price should rise up to the triple top. The rise need not be long or steep, but the triple top should have something to reverse.
Same price	The price variation among the three tops is minor. The center top should not be significantly above the other two, otherwise it is a head-and-shoulders top. There is a tendency for smaller triple tops to be one of the broadening family of chart patterns, especially the right-angled variety, so pay attention to the price lows, too.
Volume	The volume trend is usually downward but may be hard to read. Often the volume pattern is flat except near each of the three peaks. The first peak often has the highest volume. Do not discard a triple top because of an unusual volume trend.
Breakout direction, confirmation	Price must close below the lowest low between the three tops (the confirmation point) or it is not a triple top. An up-sloping trendline drawn connecting the valley lows can also serve as confirmation when price closes below it.